



every square a
different choice,
one bar per
person

Cadbury Canvas

Create from anywhere, for the people you love.

Taking XYZ's personalized chocolate machine to Cadbury: a marketing strategy that opens online, then puts machines where the demand already is.

Prepared in response to the CynLr problem statement
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Figures, handwritten notes and the stitched tables are there to be read quickly; the full argument is in the text.



Executive summary

XYZ has built a machine that makes chocolate to each buyer's taste on the spot. The aim is to make Cadbury, and eventually every chocolate maker, an advocate for it.

Proposition: become the first chocolate brand in India where consumers create the product at scale, and gain a permanent engine that tells you what people want to taste before you commit a production run.

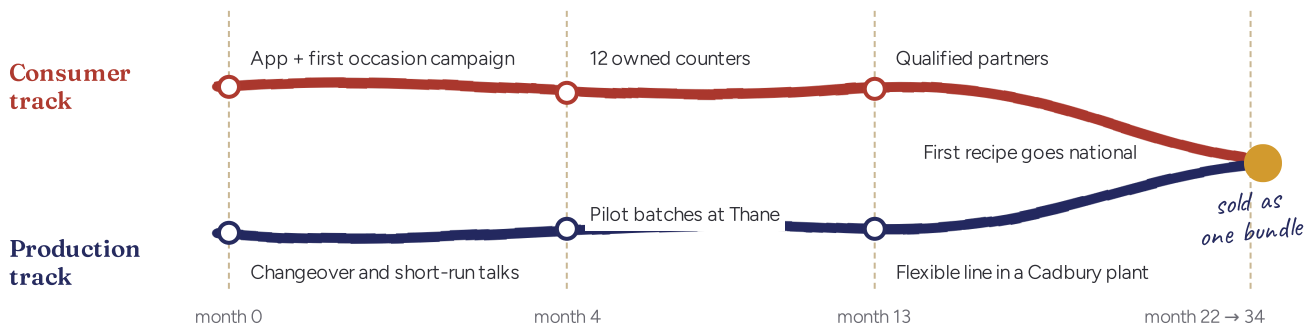
Nothing in the existing system changes. The Dairy Milk lines keep running at the same speed, volume and cost. The plan adds what they cannot do: one bar for one person, with consumers deciding how big it becomes.

The product: Cadbury Canvas, a premium sub-brand delivered through an app, a small network of Cadbury counters and qualified partners, and eventually a flexible production line.

The opening move is online, not a machine. The plan opens with a campaign, not a capital request: *create from anywhere, for the people you love*. Anyone can design a bar in the app and send it to the person it was made for, occasion by occasion. Twelve machines before anyone has proved Indians will pay is the most refusable ask; a campaign budget is the smallest, and counters then go where designs already come from.

Presented as a campaign; built as a product. The bursts are seasonal, the app never closes.

The plan runs on two tracks, in parallel:



The two tracks run side by side and meet as one offer to Cadbury. Either door can open first.

- ◆ **Consumer track.** Phase 0 launches the app and the first occasion campaign, with orders made in small batches and demo units at events. Phase 1 places twelve Cadbury-owned counters in Mumbai, Delhi NCR and Bengaluru, funded as marketing and sited on Phase 0 data. Phase 2 opens qualified partners: premium cafés, hotels, mithai chains, weddings, corporate gifting.
- ◆ **Production track.** A separate conversation with operations and R&D about the work mass lines handle worst: seasonal drops, festive runs, limited editions, regional variants and pilot batches at Mondelez's Thane centre. Changeover speed is where XYZ's machine wins, so this is a main strategy, not a follow-on.

Why it matters to Cadbury: each premium launch adds a SKU that competes with the portfolio; make-to-order does not. Coca-Cola's Freestyle turns pour data into a new drink in as little as 90 days, against 18 months. And Cadbury has already shown the demand: Madbury drew about 5 million flavour entries by its fourth edition, yet made two bars a year. Madbury was a contest; Canvas is a gift, where everyone eats the bar they design.

Why it is not a branding risk: a separate sub-brand, Cadbury-approved recipes only, capped placements, controls that open in stages, and a first phase that risks a campaign budget, not a production decision.



Understanding the problem

XYZ's machine adjusts sugar, texture, softness, chocolate level and nuts on the fly. XYZ wants to sell it to Cadbury for the Dairy Milk production line. Cadbury is a legacy market leader that prefers proven machinery it can use to automate production immediately.

The instinct is to pitch the machine as a better production line. That framing is set aside as the opening move: on a mass line the machine is judged on throughput and cost per unit against a system Cadbury has optimized for decades, in a price-sensitive market. That is where its differentiation is weakest and where a cautious buyer has every reason to say no.

→ *this is the pitch in one sentence*

The machine's real strength is something the existing line cannot do at all: **make one bar for one person, in front of that person.** That capability has no competitor inside Cadbury's plant, so it cannot be compared unfavourably to anything.

Why the first step is a campaign, not a machine

Twelve machines is roughly ₹2.4 crore of capital, a procurement process and a quality sign-off before anyone has evidence that Indians will pay a premium to create chocolate. An online launch needs an app, a small-batch fulfilment route and a campaign budget, amounts a marketing leader can approve alone. It answers the counters' question (do people design, pay and come back?) before anything is bought, and every design carries a city and an occasion, which tells us where machines should go.

The online launch is not a substitute for the machine. It is what makes the machine an easy decision rather than a leap of faith.

Production as a parallel track

Mass lines are built for long runs of identical product. Every changeover costs time and yield, which makes short runs expensive. That creates real openings for XYZ that have nothing to do with replacing Dairy Milk volume:

- ◆ Limited editions and seasonal drops
- ◆ Regional variants for specific markets
- ◆ Festive runs for Diwali, Rakhi, Eid and Christmas
- ◆ Personalized corporate and wedding gifting at volume
- ◆ Pilot-scale batches at Mondelez's Thane technical centre
- ◆ Test-market quantities before a national launch
- ◆ Small-batch fulfilment for the online campaign, which is where the track earns its keep from month one

These are jobs Cadbury's lines handle worst, worth money whether or not Canvas succeeds with consumers. XYZ pursues them with operations and R&D from the start.

Core message: Cadbury is not asked to change anything that works; the plan adds what the current system cannot do.

Case studies

These personalization and food-machine launches include ones that worked and ones that did not, each chosen for a specific lesson.

What worked

Cadbury's own proof, not someone else's

Case	What happened	Lesson for Canvas
Cadbury Madbury India, 2019 on	Consumers invented Dairy Milk flavours online; winners such as Hint O'Mint and Paanjeer launched as bars. The first edition drew more than 800,000 entries, the fourth about 5 million.	Indians already design Dairy Milk online in millions. Phase 0 keeps that behaviour and changes the ending: everyone eats the bar they design.
OREOiD Mondelez, 2020	An online platform to choose Oreo crème colour, dips and sprinkles, and print a photo or text; later offered to foodservice operators.	Mondelez already accepts online personalization in a flagship brand, and it landed in gifting, where Phase 0 opens.
Share a Coke Coca-Cola, from 2011	First names replaced the logo on bottles, and the idea spread worldwide.	A legacy leader personalized the pack and the core brand got stronger. Canvas goes into the contents, hence a separate sub-brand.
Nutella Unica Ferrero, 2017	An algorithm generated seven million different jar designs; they sold out in Italian supermarkets in about a month.	Uniqueness sells even at mass scale. The keepsake is part of the product.
Coca-Cola Freestyle	Began with about 72 machines in 43 locations before scaling past 50,000; turns pour data into new drinks in as little as 90 days.	Start small and controlled. The data engine is the long-term value.
KitKat Japan	Hundreds of regional and seasonal flavours sold as limited runs and souvenirs.	Limited, local and seasonal editions can be a permanent business, not a stunt. This is the production track's case.
Hershey's Chocolate World	The create-your-own experience has run for years; its price rose from \$14.95 in 2010 to \$29.95 today.	People pay to make their own bar and keep the tin.

What did not work

Case	What happened	Lesson for Canvas
Keurig Kold 2015–16	A \$370 home soda machine that was slow, and whose drinks tasted worse than the canned originals. Discontinued in under a year, with full refunds.	If a Canvas bar is worse than a ₹40 Dairy Milk, nothing else matters, so taste validation at Thane comes before anything is sold.

Case	What happened	Lesson for Canvas
Juicero 2016–17	Launched at \$699, cut to \$399 after reporters showed its packs could be squeezed by hand. Shut down after raising \$120 million.	The machine must visibly do something people cannot do without it, so demo units travel with the Phase 0 campaign rather than waiting for Phase 1.
KitKat Chocolatory	Premium boutiques, some with made-to-order bars, drew long waits at busy times; most Japanese stores have since closed.	Premium must not mean friction.
Freestyle as a premium idea	It spread everywhere and sits self-serve beside soda fountains, so it reads as fun rather than premium.	Scarcity and staging create premium, not technology.
Hershey, as a habit	Even fans describe it as a once-in-a-while trip.	Repeat has to be engineered, which is why the occasion calendar, not the counter, carries it.
Lay's "Do Us a Flavor"	Many winning flavours were later discontinued.	One winning recipe is a novelty. The value is the engine that keeps finding the next one.



What this transforms for Dairy Milk

What changes for Dairy Milk itself. Dairy Milk's recipe and lines stay as they are, but the brand gains three things. First, a pipeline of proven flavours: when a Canvas recipe wins, it can launch as a Dairy Milk limited edition with demand already shown rather than forecast. Second, festive, regional and seasonal variants become cheaper to run, because short runs move to XYZ modules instead of interrupting a mass line. Third, Dairy Milk's personalized gifting, which today changes the wrapper, can change what is inside it. Canvas is where the experiment happens; Dairy Milk is where the winners scale.

A live read on taste, before the capital. Today Cadbury develops, produces, ships and then finds out. Because the plan opens online, it reads what people choose by city, season and occasion within weeks, months before a machine is installed.

A premium tier that does not add another SKU. Cadbury has pursued premium through launches for over a decade: Bournville, Silk, Dark Milk, Studio Creations in 2024 at around ₹494 for 130g, and two Bournville dark variants in January 2026. Each is a fixed SKU that must be forecast, produced and stocked. A make-to-order format does not commit every combination to permanent stock.

Growth in gifting, which is where the money is

When Cadbury launched Glow in India in 2014, it did so because chocolate gifting was only 5–7% of the Indian market against 15–35% elsewhere. That gap is the commercial centre of this plan, and it answers its hardest question: why pay a premium for chocolate? People pay it for what the chocolate is doing, saying something to a person on a date that matters. A bar designed for one named person is not competing with a ₹40 Dairy Milk; it is competing with the gift that would otherwise have been bought. So the campaign leads with the recipient, and gifting starts in Phase 0. Volume lives here too: one corporate or wedding order carries hundreds of bars, each made to a different person's choice.



The product: Cadbury Canvas

A premium sub-brand where consumers create their own Cadbury chocolate. **Cadbury Canvas: create from anywhere, for the people you love.** (Name subject to trademark clearance.)

It starts on a phone, not at a counter

The order itself is the fun. You are not picking a product off a screen, you are building one: choose an occasion and a mood, swipe through bases, drop in textures, name the bar, write the message. It has the feel of a game with a real object at the end, and the object is worth photographing.

The opening behaviour is gifting. A daughter in Pune designs a soft milk bar with salted caramel for her mother in Nagpur, and it arrives on the right morning in a keepsake box with her message printed on it. She sends her brother a link to design his own. Nobody needed a machine nearby, so reach is independent of machine count.

Then the counter, where you watch it happen

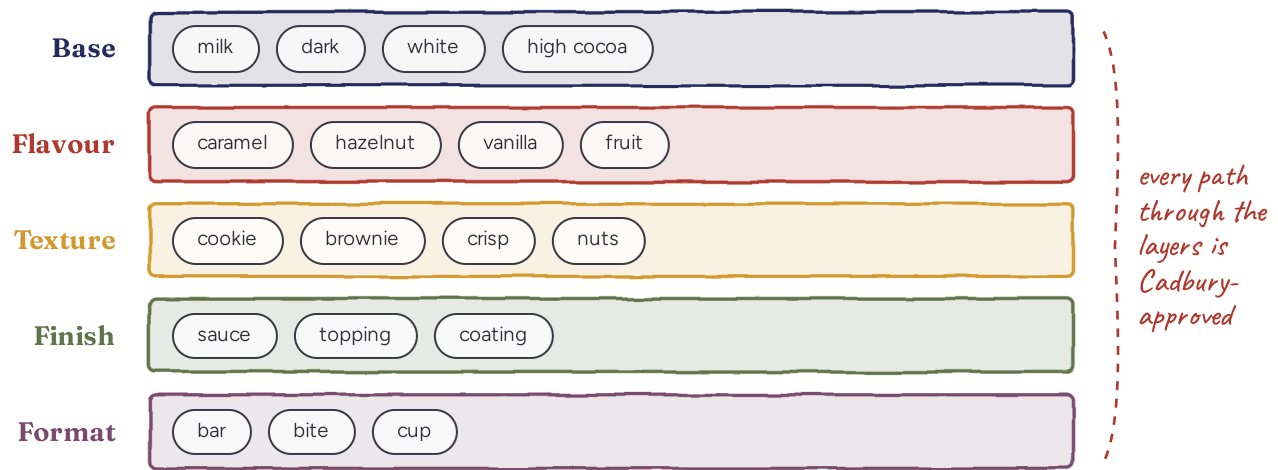
Counters add the one thing the app cannot: watching the chocolate pour and set. A traveller at Bengaluru airport with forty minutes to spare makes a bar, names it, and walks away with it in a printed keepsake box labelled for her mother. Her recipe is saved, so the second time takes thirty seconds.

The same counter belongs on the high streets where young premium India spends its evenings, and in the mid-premium places people visit in groups: burger and pizza spots, ice cream parlours, dessert bars and café chains, which give repeat visits rather than once-a-year footfall. On aircraft, cruise ships and in hotel suites, where fresh preparation is impossible, a shelf-stable bar made to order is a premium conventional catering cannot match.

Chocolate stops being something you pick off a shelf and becomes something you make, remember and give.

Proposed architecture (to be validated with XYZ engineering)

The machine works from five layers: a **base** (milk, dark, white, high cocoa), a **flavour** (caramel, hazelnut, vanilla, fruit), a **texture** (cookie, brownie, crisp, nuts), a **finish** (sauce, topping, coating) and a **format** (bar, bite, cup). Roughly twenty approved components sit across those layers.



Five layers, roughly twenty approved components. The consumer chooses; Cadbury sets what is possible.

The consumer never sees a blank slate. The screen opens on a short set of curated recipes that Cadbury's own team has created and tasted, plus the most-ordered bars of the month, so a first-time customer can simply pick a winner. What they cannot do is leave the approved range, because every path through the layers is one Cadbury has already signed off. Allergen rules, portion size and any withheld component are set centrally, per location if needed.

The machine does not manufacture arbitrary food. It assembles validated components along a recipe graph that Cadbury defines.

Freedom opens in stages, not on day one. At launch the choice is deliberately narrow (curated recipes, a name and a message) because the first thing to prove is that the bar tastes right and arrives right. Swaps open next, then the wider component set, then seasonal and limited additions (§7). Cadbury holds the dial, and every turn is earned by data from the stage before.

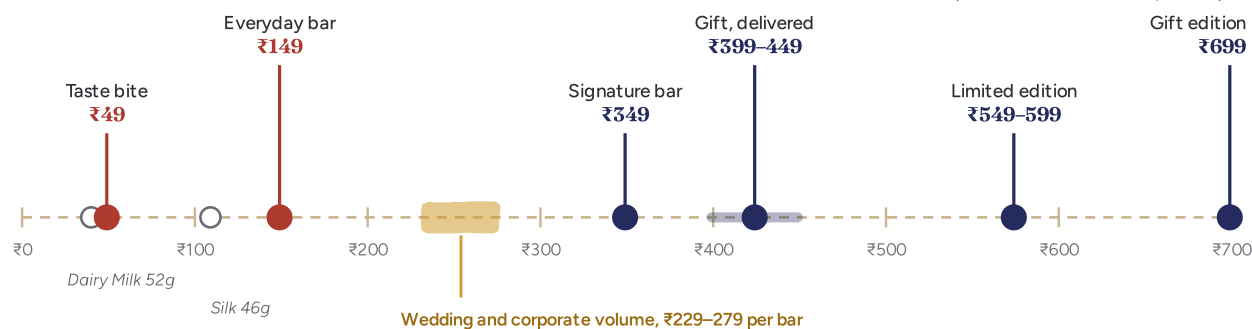
Two modes. Partner mode sets approved ingredients, recipes, portions, pricing and allergen limits; consumer mode shows a simple curated choice. The consumer experiences freedom; Cadbury controls what is possible. **An off-brand bar cannot be produced.** Never claim a thousand desserts; claim dozens of experiences from a small set of controlled components.

Bars and bites first: shelf stable, giftable, no cold chain, no plating labour, and a physical object to keep or give. That is also what makes Phase 0 possible, because a bar can be posted and a dessert cannot. Cup and dessert formats come later, as depth for existing partners.

Pricing

entry tiers win customers

premium tiers keep full price



The price ladder against Dairy Milk and Silk. Entry tiers win customers; premium tiers keep full price.

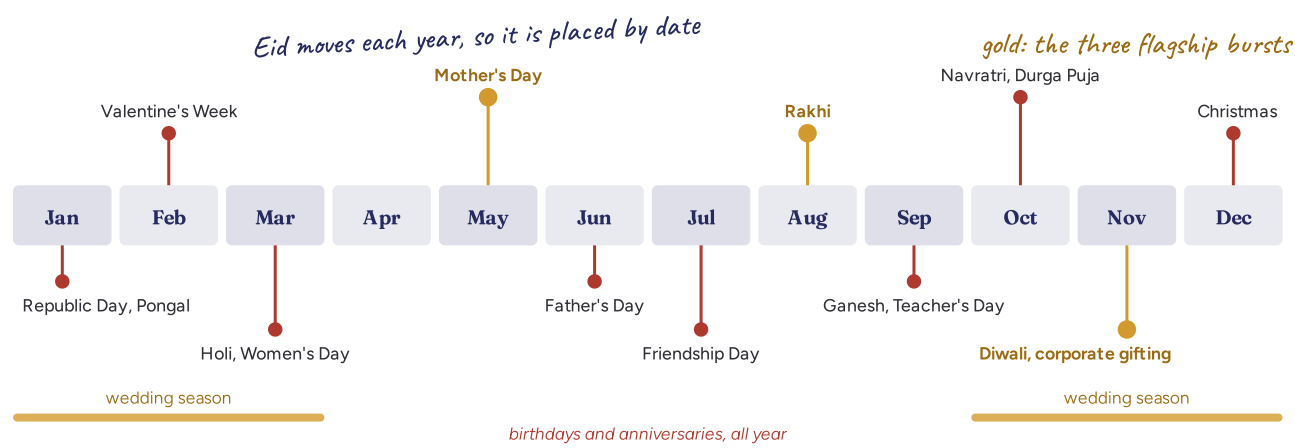
₹49 is about what a regular Dairy Milk costs

Tier	Price	Job
Taste bite (~20g)	₹49	Trial at close to the price of a regular Dairy Milk; an easy yes
Everyday bar (~50g, simple wrap)	₹149	Repeat buying at food spots and high streets
Signature bar (~50g, keepsake box)	₹349	The core product
Gift bar, delivered (Phase 0)	₹399-449	The launch product: bar, keepsake box, printed message, delivery on the day
Limited edition (seasonal, capped)	₹549-599	Premium signal, reason to return
Gift edition (bar, tin, personalization)	₹699	Margin; gifting occasions
Wedding and corporate volume	₹229-279 per bar	Committed quantities

Where the premium actually sits. The taste bite and everyday bar exist to win trial and repeat, and sit near Dairy Milk (about ₹40) and Silk (about ₹109) on purpose. The premium lives in the signature, gift and limited tiers, where the keepsake box, the message and the occasion are, and those are never discounted. A ₹399 gift bar sits below a ₹729-879 Ferrero Rocher box, which is the comparison that matters, because it is a gift.

Evidence: Hershey charges roughly \$30 because the takeaway is a keepsake tin; Freestyle charges no premium and earns on cartridges and data. Price the keepsake, not the chocolate, and remove friction.

The campaign calendar: a reason to create, every month



The campaign calendar. Every month carries an occasion, a drop and a short production run.

The campaign is a standing product with an occasion burst on top. Each occasion brings its own creative, package and a component available only then, so the question becomes what to create this time. The calendar matters to the factory too: every burst is a short run and a capped edition, the work XYZ modules handle best, and a thin calendar would leave the flexible line idle.

Online: ordering, gifting and offers

Online and offline run one calendar, one offer and one saved recipe: once counters exist, a counter-only component or a collectable occasion package is what brings someone in off the high street.

- ◆ **Occasion offers.** Every occasion gets its own package and a limited component. Saved birthdays and anniversaries trigger a reminder a week before.
- ◆ **Gifting.** Send a designed bar to another city, or send a link so the recipient designs their own. The link is the growth mechanic: each gift invites a new designer.
- ◆ **Regular and customer-specific offers.** A new component every month, a small reorder benefit, and recommendations from saved recipes, only with the customer's consent.
- ◆ **Competitive pricing.** Acquisition offers sit only on the ₹49 and ₹149 tiers; signature, limited and gift editions keep full price.
- ◆ **Loyalty.** Registering a recipe earns early access to limited drops. Rewards give access rather than discounts, so the premium holds.
- ◆ **Customer data.** Every design is a taste signal, collected with consent under India's Digital Personal Data Protection Act and never sold.

Why people come back

An experience alone gets tried once. Repetition is designed in: the calendar gives a reason almost every month, recipes are reorderable in one tap, components rotate, limited drops expire, and counters sit in places people already visit. A reminder, a saved recipe and a limited ingredient together turn one gift into a habit.

4

Is this a B2B or B2C problem?

Both, permanently, and they reinforce each other.

The buyer. XYZ's customer is Cadbury: its marketing leadership as champion, with R&D, operations and the Managing Director as the other decision makers, and quality, finance and sales consulted (\$6). Cadbury's customers are then consumers, online first and then at its own counters, and partners who host machines. XYZ sells to Cadbury; Cadbury sells to partners and consumers.

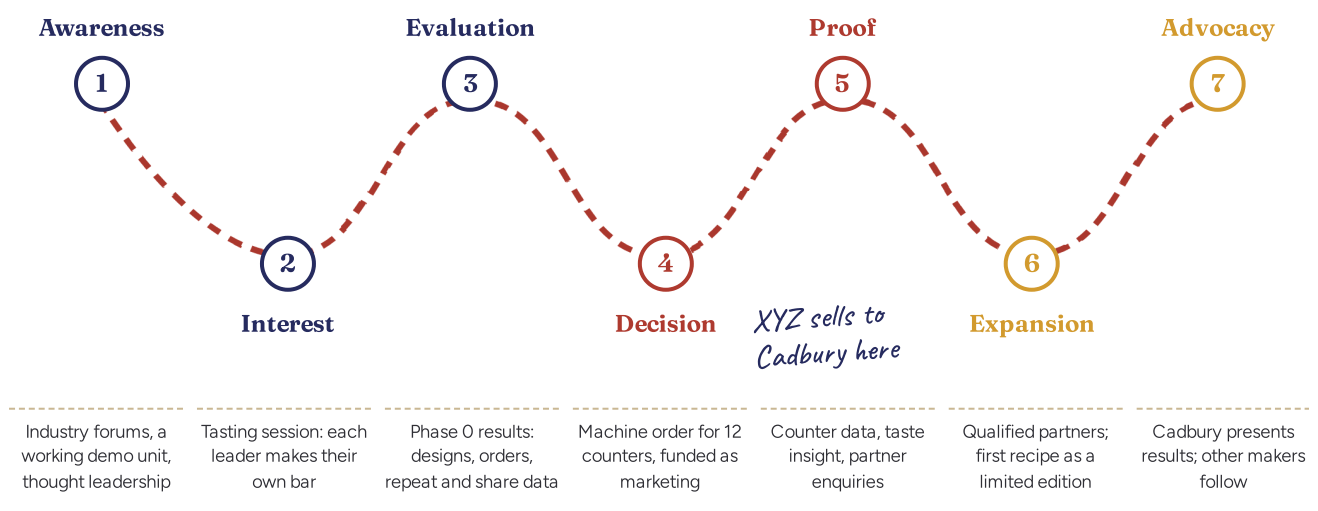
Why consumer demand has to come first. A premium café will not install unproven equipment to save on inventory. It will install it because its customers already want it and a competitor does not have it: differentiation and footfall, not efficiency. The same logic applies one level up. Cadbury will not buy machines to prove a consumer behaviour, but it will buy them to serve one it can already see.

So the consumer layer is not a launch tactic that retires. It does three jobs permanently:

- 1 **Discovery:** consumers generate combinations nobody internally would design
- 2 **Word of mouth:** people share what they *created*, not what they bought
- 3 **Partner pull:** every consumer placement makes the next partner conversation easier

Two pitches. The B2B pitch leads with consumer pull, differentiation, footfall, then margin and payback. The B2C pitch leads with ritual, self-expression and the creation moment. Speed is the B2B promise; slowness is the B2C promise.

The buyer's journey

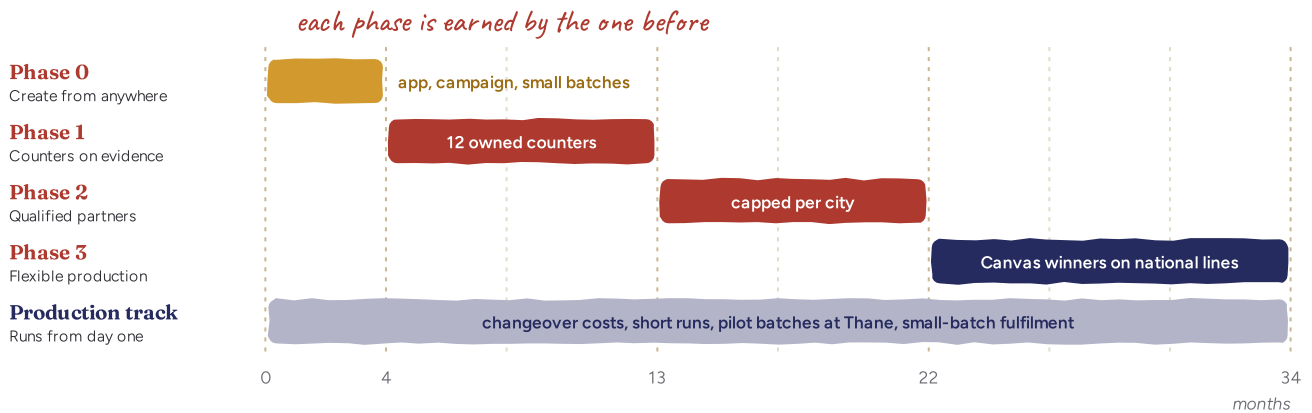


The buyer's journey. Online results are the evidence at Evaluation, and the machine sale closes at Decision.

In a conventional equipment sale, Evaluation is a technical review and a reference site. Here it is four months of live consumer data Cadbury generated on its own brand, at campaign cost. By the time the machine order is discussed, the market has made the argument.

5

The step-by-step strategy



Thirty-four months, four phases, and a production track that runs from day one.

Phase 0. Create from anywhere (months 0 to 4)

The Canvas app launches with a campaign built on one line: *create from anywhere, for the people you love*. Anyone in India can design a bar, name it, write a message and have it delivered, or send a link so the recipient designs their own. Bars are made in capped small batches at Thane, a contract facility or on an XYZ demo unit, and demo units travel to a flagship mall and an airport so people can watch a bar being made.

What Phase 0 costs and what it buys. An app, a fulfilment route and a campaign budget, approvable without a capital decision. It returns the answer to the central bet (do people design, pay, come back and send it on?) plus a city-level map of where demand actually is.

the bursts end; the app does not

Phase 1. Counters, placed on evidence (months 4 to 13)

Twelve Cadbury-owned counters across Mumbai, Delhi NCR and Bengaluru, in airports, metro hubs, premium high streets and malls, including one flagship. Nine months covers a festive season and the quiet period after it. Sites are chosen on Phase 0 order data, so each counter opens with an audience that already has a saved recipe. Funded as experiential marketing, so no capex decision is needed; Cadbury controls every machine, so early problems stay private.

Phase 2. Scale through qualified partners (months 13 to 22)

Premium cafés and dessert chains, premium mithai and chocolate stores, hotels and banquets, wedding specialists, premium corporate gifting. **Placement is qualified, not open:** minimum footfall and average spend, a premium partner brand, visible consumer interaction, repeat frequency, and the capability to host properly. Numbers are capped per city, which protects the premium and keeps the network serviceable.

Phase 3. Flexible production (months 22 to 34)

When a Canvas recipe proves popular enough for national sale, it launches as a limited edition on existing lines. Then XYZ modules go onto a small flexible line inside a Cadbury plant, running the work the calendar generates: seasonal drops, capped editions, regional variants, festive runs and gifting at volume. This reaches the brief's production-line goal as the answer to a problem Cadbury will already have, not a cold sale against working machinery.

The parallel production track (from month 0)

While marketing runs Phase 0, XYZ opens a separate conversation with operations and R&D on changeover costs, short-run economics and pilot batches at Thane. Phase 0's batches have to be made somewhere, so the discussion has real orders behind it from the start.

Where Canvas goes: illustrative targets

Setting	Example venues	How it works
Online, nationwide	The Canvas app and Cadbury's own commerce	Live from month 0; designed anywhere, delivered on the day that matters
Airports	Bengaluru T2, Delhi T3, Mumbai T2	A bar created as a gift, labelled by relationship
Premium malls	Phoenix Palladium, DLF Emporio, UB City	Visible counter near the F&B zone; weekend and festive footfall
Five-star hotels	Taj, ITC, Oberoi	Signature bar at turndown; guest stations at banquets
Destination weddings	Planners in Udaipur, Jaipur, Goa	Each guest creates a flavour using the couple's recipe
Premium mithai and dessert stores	Modern premium sweet shops in metros	Festive boxes combining Canvas bars with the store's sweets
Corporate gifting	Premium gifting operators	Company orders; each recipient designs via link
Premium high streets	MG Road and Indiranagar type streets	Evening and weekend crowds; a counter people stop at
Mid-premium food spots	Burger and pizza chains, ice cream parlours, dessert bars	A bar made to order after a meal; the highest repeat frequency
Aircraft and cruise	Premium cabins, cruise lines	A made-to-order bar where fresh preparation is impossible

Evidence, Indian demand: Manam Chocolate's 10,000 sq ft Hyderabad factory and café, where visitors watch chocolate being made, has been named among TIME's World's Greatest Places. Subko's Cacao Mill in Mumbai runs make-your-own chocolate sessions. Demand exists; nobody has done it at brand scale.

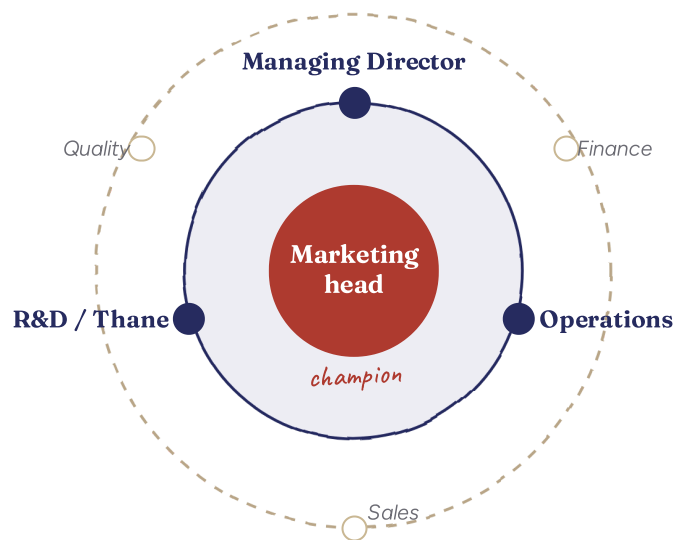
6

Getting buy-in inside Cadbury

Marketing leads, because a marketing leader can approve a campaign and an app without a capital decision, and results then persuade everyone else. Phase 0 asks for a campaign budget, not twelve machines, so the first yes is the smallest yes in the sequence. Mondelez's chocolates marketing is led by Ankit Desai, who joined in April 2026 after nearly seven years at Hershey and reportedly leads marketing and P&L for Dairy Milk, Silk and Bournville. Against Mondelez India's FY25 advertising spend of ₹1,520.81 crore, the Phase 0 ask is modest.

Who to target and how to reach them

decide
(inner ring)



consulted
(outer ring)

Four decision makers, with marketing as champion. Quality, finance and sales are consulted.

every meeting ends with an ask

Stakeholder	What they care about	Message	How to reach them	The ask
Marketing head champion	Premium growth, engagement	A premium territory that feeds Dairy Milk without touching it, opening at campaign cost	Executive tasting session	Fund the Phase 0 campaign and app from activation budget
R&D / Thane centre	Taste consistency, formulation control	Cadbury defines every recipe; faster pilot batches	Technical review at Thane	Run formulation and food-safety validation; make the first small batches
Operations / plant head	Reliability, changeover cost	Short runs without stopping a mass line	Changeover economics	The cost of a short run, and one plant contact
Managing Director	Growth, competitive position	A first-mover position competitors cannot quickly copy	Business case via marketing, then Phase 0 results	Name it a strategic priority

Quality signs off food safety within R&D's validation, finance agrees how Phase 0 will be judged before it starts, and sales joins when Phase 2 needs key accounts. If national leadership is not ready, the same launch runs as a regional festive activation approved by a regional team; a regional head presenting their own successful pilot upward is more persuasive than any vendor pitch, and because Phase 0 is online, that only means geo-targeting a campaign.

Discovering their goals

Start with what is public: Mondelez's investor materials name premium price points as a trade-up opportunity, and Studio Creations and the new Bournville variants show where the portfolio is heading. Then hold one-to-one conversations built around a few questions. For marketing: which premium launch underperformed, and why. For R&D: how long a new flavour takes from idea to pilot batch. For operations: what a changeover costs, and which runs they least like scheduling. For the Managing Director: which competitive threat worries them most. For everyone: what would make you say no. Then check stated goals against behaviour, where budget has moved and what each person is measured on, and plan around the behaviour.

Resonance points and disconnects

They will resonate with: brand and emotion, gifting and occasions, limited editions, consumer insight, and premium growth that leaves Dairy Milk untouched.

They will disconnect on: throughput, reliability, food safety, taste consistency, capital cost, and anything that disturbs a system that already works.

What governs their behaviour: Cadbury is custodian of one of India's most trusted brands, and its teams are rewarded for protecting volume, margin and quality. Caution is rational, so the plan never asks them to carry the risk: the first phase is small, online and reversible.

Product experience marketing: excitement and scepticism

Leadership does not hear the machine described; they use it. The first meeting is a session where each executive creates their own bar, and the argument makes itself in ninety seconds.

Likely excitement: a new premium story, consumer data, social and PR value. **Likely scepticism, and the response:**

- ◆ **"It's a gimmick."** Phase 0 measures repeat purchase and gift-link conversion, not trial.
- ◆ **"We already did this with Madbury."** Madbury was a contest that made two bars. This makes everyone's, as a gift, and never closes.
- ◆ **"It will cheapen the brand."** Separate sub-brand, capped placements, premium pricing, and controls that open only as quality is proven.
- ◆ **"It won't be consistent."** Cadbury-approved recipes only; Phase 0 launches with the narrowest choice of any stage, so consistency is proved first.
- ◆ **"Too unconventional for us."** It runs beside the business, and Cadbury already personalizes wrappers and gifting. This is the next step.



Protecting the brand

The real risk is simple: the machine fails to deliver what it promises, and a disappointing bar carries the Cadbury name. Every design choice answers that risk.

Control is not a setting switched on at launch. It is a ladder: each rung comes down only after the one before is cleared on evidence.

The control ladder

Cadbury holds the dial, and can turn it back

Stage	What opens	What stays locked	What must be proved first
Stage 1 Phase 0 launch	Curated Cadbury-created recipes, plus the bar name, message and box	Every component choice	That the bar tastes right, survives delivery and arrives on the day
Stage 2 once quality holds	One swap within a curated recipe: a texture, or sweetness up or down	Combinations outside the tasted set	Consistency across batches, and that consumers use the swap
Stage 3 at the counters	The full approved set across five layers, and "surprise me" from a tasted set	Any unsigned path; allergen conflicts	Counter quality data, complaint rate, and which components are asked for
Stage 4 partner network	Seasonal, limited and regional components; partner-specific curated menus	Partner-created recipes	Audited partner performance and a stable complaint rate

Read down "what stays locked": at no stage can anyone outside Cadbury put a combination into a bar that Cadbury has not tasted and approved. What changes is how much of Cadbury's own range the consumer can reach.

The structural protections, which do not change by stage

- ◆ Dairy Milk's recipe and packaging are untouched
- ◆ Canvas is a separate sub-brand, following the logic that keeps Silk and Studio Creations distinct
- ◆ Phase 0 risks a campaign budget, not a production decision, so the riskiest learning is the cheapest
- ◆ Phase 1 runs entirely on Cadbury-owned machines, so early problems stay private
- ◆ Placements are few, vetted, trained and audited, with a contractual right to remove machines
- ◆ The machine looks after itself: sealed cartridges, automatic cleaning cycles, and remote monitoring so XYZ knows a machine needs attention before a customer notices

Evidence: Freestyle machines report their own inventory and generate restock orders centrally, which is the model for Canvas telemetry.

Barriers, bucketed

Type	Barrier	Response
Technical	Taste consistency, cycle time, shelf life, cleaning	Approved recipe graph, sealed cartridges, auto-clean, validation at Thane before anything is sold
Operational	Refill, servicing, staffing, small-batch fulfilment	Remote telemetry, capped network, XYZ service contract; Phase 0 batches at Thane or a contract facility
Brand	Dilution, a quality failure at a partner site	Sub-brand, scarcity, audits, staged control ladder, owned first phases
Financial	Capital cost, uncertain payback	Campaign-funded start with no machine order; revenue offsets cost; no partner capex
Organisational	Legacy caution, multiple sign-offs, "not invented here"	Marketing-led entry at campaign cost; evidence before escalation; regional fallback
Regulatory	Licensing, allergens, measurement, e-commerce food sale	FSSAI licensing matched to each stage, allergen labelling, Legal Metrology calibration
Market	Novelty fatigue, weak repeat	Saved recipes, a full-year occasion calendar, seasonal rotation, limited drops

Regulatory position, stage by stage

FSSAI's 2026 amendments, effective 1 April 2026, set basic registration up to ₹1.5 crore turnover, a state licence to ₹50 crore, and a central licence above that. The requirement lines up with the phases. **Phase 0** manufactures at Thane or a licensed contract facility and sells as an e-commerce food business, the lightest position in the plan. **Phase 1** takes vending licences per site, in three cities. **Phase 2** must allow for five-star hotels needing a central licence regardless of turnover. **Throughout**, allergen labelling and Legal Metrology calibration apply, both simpler while the recipe set is narrow.



The business model

XYZ to Cadbury: XYZ's business

- ◆ Machine sale (capital revenue)
- ◆ Exclusive cartridge and consumables supply (recurring, the real margin)
- ◆ Annual service and maintenance contract (recurring)
- ◆ Insights platform subscription: the taste-preference analytics layer, priced separately from hardware

Consumables are locked to XYZ supply on food-safety grounds, so **XYZ stays physically present at every machine, and that presence is the business**: an annuity, not one transaction. *Evidence*: Coca-Cola supplies Freestyle equipment cheaply and recovers cost through the beverage relationship, as Nespresso does.

Cadbury to market

- ◆ **Online, from month 0**: the first revenue line, needing no machine in the field
- ◆ **Owned counters**: marketing-funded, sited from online demand data
- ◆ **Qualified partners**: machine-as-a-service, no partner capex, revenue per unit
- ◆ **Outright sale** where servicing is impractical: aircraft, cruise, remote sites

Exclusivity, and what it is worth

A time-limited exclusivity window in chocolate, in exchange for minimum volume commitments. It covers branded chocolate manufacturers only; cafés and hotels can still buy unbranded machines from XYZ. When it closes, Cadbury keeps its head start: a competitor can buy the same machine, not three years of knowing what India wants to taste.

Why Cadbury keeps needing XYZ after recipes graduate

Once a winning recipe is known, Cadbury can make it on its own lines. That is the plan working, not a leak: tastes shift every season, and what Cadbury needs is the engine that keeps finding the next recipe, which runs on XYZ machines. Switching costs compound: installed machines, telemetry, cartridges, the recipe-graph software and millions of saved recipes. Recipes stay Cadbury's; XYZ owns the machine, software and platform.

What this costs Cadbury: an illustrative shape, not a model

These are assumptions, not findings. At ₹349 for a signature bar against roughly ₹50 in ingredients and packaging, a counter does not need high volume to contribute, and a ₹20 lakh machine would pay back within a year at reasonable volumes. Prime space is expensive (Delhi's Khan Market asks ₹1,700–1,800 per sq ft a month), so malls and kiosks carry the first set. No payback is claimed: Phase 1 tests whether 8–14 months is achievable; the real mix will sit below ₹349, and programme cost is additional. **It is a marketing investment as much as a unit-economics one**: twelve machines is about ₹2.4 crore against an FY25 marketing spend of ₹1,520.81 crore, and unlike a campaign it leaves revenue and a taste dataset behind. Being a product, it also needs running year-round, a real cost to budget from the start.



Bringing other manufacturers on board

The brief asks for a strategy that evangelizes Cadbury and every such chocolate manufacturer into promoters of XYZ's product. Once Cadbury is running, that becomes a distribution problem rather than a persuasion problem.

Cadbury as the reference case, not the concept. This is the single most valuable asset the plan produces for XYZ. Once results are public, the pitch to Nestlé, Amul, Ferrero, Lindt and regional players is no longer an idea to be argued but a proven programme with numbers, run by the most trusted chocolate brand in the country. The conversation shifts from "does this work?" to "who is next?"

First-mover advantage. The first brand to offer consumer-created chocolate at scale in India owns the idea in consumers' minds, builds the recipe data and secures the best locations. The exclusivity that protects that position is set out in §8.

Building XYZ's brand. A reference list carrying India's market leader turns XYZ from an equipment vendor into the category's flexible-production layer.

Where expansion goes beyond the big manufacturers

Branded manufacturers are the headline targets, but not the largest count of machines. Adjacent categories want exactly what this machine does, buy faster, and sit outside any exclusivity covering branded chocolate makers:

Category	Why they want it	How XYZ reaches them
Customised and premium bakeries	Personalization is already their business; chocolate is a high-margin add-on	Direct sale or lease under the bakery's own branding
Sweet shops and mithai chains	Festive gifting is their peak; a made-to-order bar extends a festive box	Regional chains first; festive season as the entry point
Ice cream parlours and dessert bars	The highest repeat frequency of any venue; made-to-order is already the format	Machine-as-a-service, unbranded
Gifting and corporate gifting firms	Volume personalization is their core, and chocolate the most-requested category	Direct sale on capability and turnaround
Hotels, café chains and cruise operators	Differentiation, and a solved stocking problem	Direct sale under their own name
Other branded manufacturers	Competitive response once Cadbury's results are public	Cadbury as the reference, after the exclusivity window

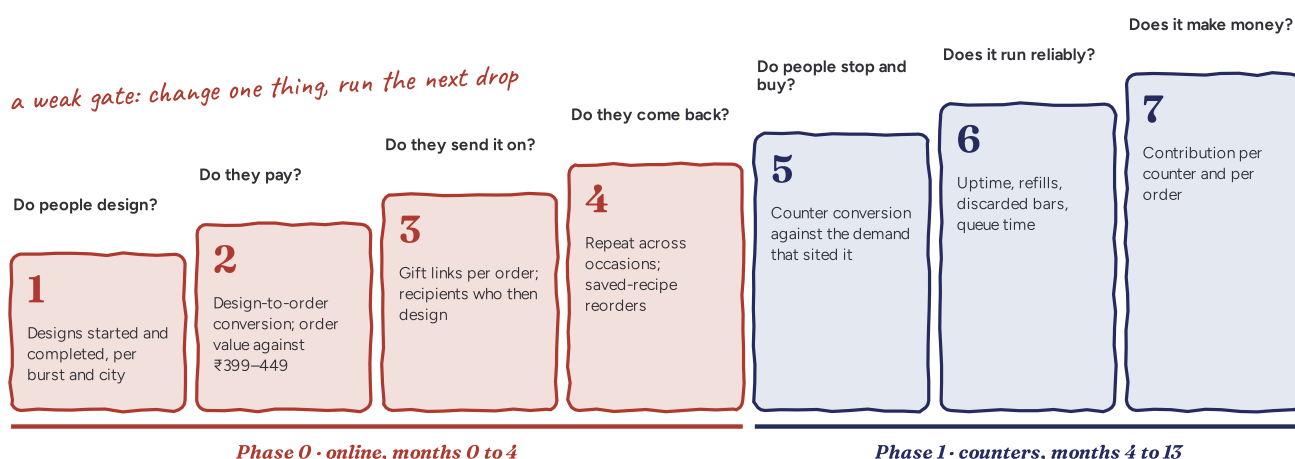
Why these matter. Unbranded placements build service density in the cities where Canvas operates, making Canvas cheaper to service, and none competes with it, because none carries a Cadbury identity.

10

Measuring success

The early phases are judged in order; a later measure cannot rescue an earlier failure. But the gates are review points, not an off switch. A weak result means one thing is wrong (the offer, the price, the occasion, the fulfilment), and because the plan opens online, fixing it costs a campaign cycle rather than a capital write-off.

The gates, in order



Phase 0 is judged on gates 1 to 4, Phase 1 on 5 to 7. Each is a review point, not an automatic stop.

→ *gate 2 is the central bet, tested in month two rather than month twelve*

Marketing, social and word-of-mouth measures

Because the product is digital first, the softer half of the return is measurable by default:

- ◆ **Gift-link virality.** Links sent per order, open rate, and how many new designers each order produces: the clearest measure of word of mouth, and a real, traceable action.
- ◆ **Sharing, reach and recall.** Designs shared from the app, keepsake boxes posted with the campaign tag, share of voice per occasion, and unaided recall before and after each burst.
- ◆ **Cost per acquired designer.** Campaign spend divided by first-time designers, split paid and organic.
- ◆ **Taste-engine output.** Distinct recipes created, how concentrated choices are, and whether one emerges strong enough to launch as a limited edition. This is the asset Cadbury keeps.
- ◆ **Inbound partner enquiries.** The clearest signal that Phase 2 will sell itself.

What success unlocks

A successful Phase 0 earns the machine order. A successful Phase 1 earns the partner rollout. A successful Phase 2 earns the flexible production line. Nothing is asked for before the previous step has paid for the right to ask.



Assumptions and open questions

Researched facts are kept separate from judgments. The judgments below would be tested before scaling.

The central bet: that Indian consumers will pay a meaningful premium to create their own chocolate. This is an assumption, not a finding. Madbury proves Indians want to create their own Dairy Milk; it does not prove they will pay a premium to do it, and there is no local precedent at brand scale.

Why we think they may, and what protects the plan if not. The argument (§2) rests on occasion rather than chocolate, and it is still an argument. Testing it is cheap and reversible: Phase 0 answers it at gate 2 in month two, before any machine is ordered. If it fails, Cadbury has learned that for the cost of one occasion campaign.

Other assumptions:

- ◆ That XYZ's machine can deliver the proposed five-layer architecture with consistent quality and a cycle time near two minutes; the architecture is a proposal, not a stated XYZ capability
- ◆ That small-batch Phase 0 fulfilment is practical at Thane, a contract facility or on a demo unit, at a cost that supports a ₹399–449 price; this is unverified
- ◆ Machine cost, throughput, servicing needs and component count; pricing for each tier
- ◆ That online demand data predicts counter footfall well enough to site twelve machines on it
- ◆ That the consumer layer generates enough pull to make partner sales straightforward, and which partner categories drive the most repeat use
- ◆ That bar-before-dessert is the right sequence

Where published data varies: India chocolate market estimates differ by source, and Mondelez's share of Indian chocolate is reported between roughly 55% and 65%. Market-size and retail-rent figures are third-party estimates; unit economics here are an illustrative scenario, not findings.

Needed from XYZ engineering: actual machine cost, cycle time, footprint, power and cleaning requirements, cartridge shelf life, and the true range of adjustable parameters. These determine whether the architecture and economics here hold.

Sources

Coca-Cola company materials on Freestyle scale, data and product development; Coca-Cola and trade coverage of Freestyle deployment and Freestyle Mini; Nestlé materials and press coverage of KitKat Chocolatory, including store closures; Hershey's Chocolate World listings and visitor reviews; Ritter Sport Bunte Schokowelt materials and reviews; Harvard Digital Initiative and trade coverage of Lay's "Do Us a Flavor"; Ogilvy and trade coverage of Share a Coke, including its Indian adaptation; Adweek and trade coverage of Nutella Unica; Idomoo and trade coverage of Cadbury Glow and Flavorism; TechSci Research on India's premium chocolate market; Mondelez investor materials and Indian financial disclosures; press coverage of Ankit Desai's appointment; Mondelez materials on the Thane Technical Centre; FSSAI Licensing and Registration Amendment Regulations 2026; Indian retail and commercial property reporting on rents and mall leasing; Indian press coverage of Manam Chocolate and Subko's Cacao Mill; Cushman & Wakefield high-street rent reports for Delhi-NCR; Indian marketing press coverage of Cadbury's Madbury campaigns; Mondelez and trade coverage of OREOiD; trade and press coverage of Keurig Kold and Juicero; Indian online retail listings for Dairy Milk and Silk prices.



Where each question is answered

The brief asks	Section
Marketing strategy to evangelize Cadbury and every such manufacturer	Executive summary; §5; §9
Transformations this brings to Dairy Milk	§2
How customer and consumer behaviour changes; what the buying experience looks like	§2; §3
How to showcase and convince a legacy market leader	§1; §5; §6
Concept, narrative and approach to market	§1; §3
The buyer's journey, and who the buyer is	§4
Why this won't be a branding fiasco	§7
B2B or B2C, and how to approach both	§4
Case studies and their relevance	§1: Madbury, OREOiD, Share a Coke, Nutella Unica, Freestyle, KitKat Japan and Hershey (worked); Keurig Kold, Juicero, KitKat Chocolatory, Freestyle as premium, Hershey as a habit and Lay's (did not). Further evidence in §3, §5, §7 and §8
Step-by-step strategy for a legacy leader	§5
Resonance points, disconnects, what governs behaviour	§6
Product experience marketing: excitement and scepticism	§6
Who inside the organisation to target, and how the message reaches them	§6
Their goals, how to discover them, how to know the strategy works	§6; §10
Barriers, bucketed and classified	§7
Online ordering, gifting and occasion offers	Executive summary; §3; §5; §8; §10

In one line

Cadbury is not asked to change anything that works. The plan opens online at campaign cost, proves that Indians will create and pay, and only then puts machines where the demand already is.

Prepared in response to CynLr's problem statement. "Cadbury Canvas" is a working name subject to trademark clearance; Cadbury, Dairy Milk, Silk and Bournville are trademarks of Mondelēz International.